THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET 1

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** assured return, low risk	Bank deposit
2	**(c)** 1 April to 31 March	Tax year
3	**(d)** Rs 36,000	3000 x 12
4	**(b)** premium	Premium
5	**(b)** Rs 500	5% of 10000
6	**(c)** budget	Budget
7	**(c)** Expenses = Income - Savings	Savings priority
8	**(b)** equated monthly instalment	Loan repayment
9	**(d)** higher income, higher tax rate	Equity
10	**(d)** maturity period	Definition

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Written plan of income and spending (1); Helps live within means (1).	1+1
12	Fixed amount subtracted (1); For salaried people (1).	1+1
13	Fixed monthly repayment (1); Includes principal and interest (1).	1+1
14	Interest on interest (1); Grows faster over time (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Education loan is productive (1); Unnecessary goods harm (1); Too many EMIs reduce savings (1).	1+1+1
16	FD low risk (1); Bond regular interest (1); Shares highest risk (1).	1+1+1
17	Income and budgeting (1); Saving and investing (1); Protection (1).	1+1+1
	OR: 12,000/8 (1); Rs 1,500 each month (1); Keep tracking (1).	1+1+1
18	Identify expenses (1); Set savings goal (1); Track and review (1).	1+1+1
	OR: BSE index (1); Tracks 30 large companies (1); Rises in the long run (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Income tax (1); GST (1); Why needed (1); Progressive (1); Financial year (1).	1+1+1+1+1
	OR: Cost Rs 30,000 (1); 12 EMIs of Rs 3,000 (1); Total Rs 36,000 (1); Extra Rs 6,000 (1); Debt burden (1).	1+1+1+1+1
20	5% of 4 lakh = 20,000 (1); 10% of 4 lakh = 40,000 (1); 15% of 1,25,000 = 18,750 (1); Total Rs 78,750 (1); Slab method (1).	1+1+1+1+1
	OR: Health (1); Life (1); General (1); Risk pooling (1); PM-JAY (1).	1+1+1+1+1

Mistakes to avoid:

- Simple interest is on the principal only: SI = P x R x T/100. Compound interest is on principal **and** earlier interest, so it is larger over 2 or more years.
- The five pillars are income, budgeting, saving, investing and protection; exports are not one of them.
- GST is an **indirect** tax (on goods and services); income tax is a direct tax. In a progressive system higher incomes pay higher rates.
- An EMI purchase costs **more** than the price: total paid = EMI x number of months (e.g. 12 x 3,000 = 36,000 for a 30,000 fridge).
- Inflation is a rise in prices, which lowers purchasing power; money kept idle in cash loses value over time.
- Higher risk goes with higher possible return and fixed deposits are low-risk; a premium is paid for insurance and a SENSEX is an index of the BSE.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** 30 large companies	Bombay Stock Exchange
2	**(a)** pooled money managed by professionals	Diversified
3	**(c)** direct tax	Paid on income
4	**(b)** identify expenses	Listing expenses
5	**(d)** inflation	Reduces purchasing power
6	**(c)** income	Definition
7	**(a)** loan to government or company	Regular interest
8	**(a)** direct tax laws	Revenue body
9	**(c)** how quickly an asset converts to cash	Ease of cash
10	**(d)** Rs 12,100	10000 x 1.21

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Contract paying compensation for loss (1); Premium is paid (1).	1+1
12	Income, budgeting, saving (1); Investing and protection (1).	1+1
13	Putting savings in assets (1); To earn returns (1).	1+1
14	Direct: income tax (1); Indirect: GST (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	A = 10,000 x 1.1 x 1.1 (1); Rs 12,100 (1); Interest Rs 2,100 (1).	1+1+1
16	Health: hospital bills (1); Life: family's needs (1); General: assets (1).	1+1+1
17	Longer compounding (1); Returns on returns (1); Steeper curve later (1).	1+1+1
	OR: Risk: loss chance (1); Return: profit (1); Time and liquidity (1).	1+1+1
18	Higher income higher rate (1); Reduces inequality (1); Slabs (1).	1+1+1
	OR: Ministry proposes slabs in Budget (1); CBDT administers (1); Direct tax laws (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Up to 4L nil (1); 4-8L 5% (1); 8-12L 10% (1); 12-16L 15% (1); Above 24L 30% (1).	1+1+1+1+1
	OR: Insurance (1); Careful borrowing (1); Emergency fund (1); Sharing risk (1); Peace of mind (1).	1+1+1+1+1
20	Money is scarce (1); Planning needs (1); Goals like house (1); Efficient use (1); Five pillars (1).	1+1+1+1+1
	OR: Prices rise (1); Purchasing power falls (1); Rs 1,000 bag costs Rs 1,060 (1); Invest to beat inflation (1); Liquid and safe (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Exports	Pillars are income, budgeting, saving, investing, protection
2	**(b)** Rs 540	500 + 40
3	**(b)** compounding	Compound interest
4	**(b)** an individual's money	Definition
5	**(d)** risk sharing	Pool
6	**(d)** indirect tax	Added to price
7	**(c)** PPF	Safe, long-term
8	**(c)** nil	First slab
9	**(c)** Rs 80,000	Income - savings
10	**(b)** assets to earn returns	Growth

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Planning and managing one's money (1); Spending, saving, investing (1).	1+1
12	Ease of converting to cash (1); Without losing value (1).	1+1
13	Rise in prices over time (1); Lowers purchasing power (1).	1+1
14	Keeping part of income aside (1); For emergencies and future (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Fund schools and hospitals (1); Transport and defence (1); Government services (1).	1+1+1
16	Ensures savings (1); Avoids overspending (1); Builds emergency fund (1).	1+1+1
17	Total = 28,800 (1); Extra Rs 4,800 (1); Interest burden (1).	1+1+1
	OR: Saving keeps money safe (1); Investing grows it (1); Investing carries risk (1).	1+1+1
18	Pooled money (1); Professionals manage (1); Market risk (1).	1+1+1
	OR: Within Rs 4 lakh nil slab (1); Tax is nil (1); Slab rule (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Identify expenses (1); Savings goal (1); Track (1); Review (1); Rs 3,000 in six months (1).	1+1+1+1+1
	OR: Risk (1); Return (1); Time horizon (1); Liquidity (1); Trade-off (1).	1+1+1+1+1
20	FD (1); PPF, NSC, SSY (1); Bonds (1); Shares (1); Mutual funds (1).	1+1+1+1+1
	OR: Priya piggy bank Rs 500 (1); Sameer 8% Rs 540 (1); Compounding formula (1); Rs 10,000 at 10% (1); Early start (1).	1+1+1+1+1

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